

2010 SCC OnLine All 4452

In the High Court of Allahabad

(BEFORE VIJAY MANOHAR SAHAI AND RAJ MANI CHAUHAN, JJ.)

Vijay Pal Singh & Another ... Petitioner;

Versus

Dakshinanchal Vidyut Vitran Nigam Ltd. and Others
... Respondent.

WRIT - C No. - 60987 of 2005

Decided on March 29, 2010

Advocates who appeared in this case :

Petitioner Counsel:— Seema Agarwal, Mayank Agarwal

Respondent Counsel:— WH. Khan, S.C.

The petitioner is manufacturing cycle locks. He had been sanctioned a load of 21 H.P. and 7.5 K.W. The tariff applicable to the petitioner is LMV-6 with the facility of a trivactar meter for M.R.I. recording. On 4.5.2005 a surprise checking was made by the respondents at the premises of the petitioner and it was found that the petitioner was committing theft by passing the meter through a cable. The connection of the petitioner was disconnected. The cable and meter was seized and sent for checking at the laboratory. On 4.5.2005 a show cause notice was issued to the petitioner by the Deputy General Manager to which the petitioner submitted his reply. After considering the reply of the petitioner, final assessment order was passed on 5.7.2005 and a sum of Rs. 6,94,203/- was demanded from the petitioner, which was three times of the tariff applicable to the petitioner, as per the provisions of U.P. Electricity Supply Code, 2005. The learned counsel for the petitioner has challenged the assessment order dated 5.7.2005 by means of this writ petition.

We have heard Sri Mayank Agrawal, learned counsel for the petitioner and Sri H.P. Dubey appearing for respondent nos.1, 2 and 3.

Electricity Act, 2003 came into force on 2.6.2003. Section 126(6) of the Act, provided that the assessment can be done at the rate of 1.5 times of the tariff applicable. Section 126(6) of the Act reads as under:

"The assessment under the section shall be made at a rate equal to one-and-half times the tariff applicable for the relevant category of services specified in subsection (5)."

The U.P. Electricity Supply Code, 2005 came into force on 18.2.2005. Clause 6.8 of the Code provides procedure for booking a consumer under Section 126 of the Electricity Act, 2003. Clause 6.8(c)(iv)(a) of

the Code provides that assessment shall be made at the rate equal to one-and-half the tariff applicable. The aforesaid clause 6.8(c)(iv)(a) is extracted below:

“The assessment shall be made at a rate equal to one-and-half times the tariff rates applicable for the relevant category of services.”

Clause 8.2(iv) of the Code provides that in case a theft of energy, final assessment bill shall be prepared, which shall be three times rates as per the applicable tariff. Clause 8.2(iv) of the Code is extracted below:

“Where it is established that there is a case of theft of energy, the licensee shall assess the energy consumption for past period as per the assessment formula given in Annexure 6.3(c) and prepare final assessment bill on 3 times the rates as per applicable tariff and serve on the consumer under proper receipt. The consumer shall be required to make the payment within 7 working days of its proper receipt. A copy of the speaking order shall be handed over to the consumer under proper receipt on the same day.”

Annexure-6.3 which is referable to clause 6.8(c) in clause-C (iv) provides that the consumption so assessed shall be charged at three times the normal tariff applicable. The aforesaid clause is extracted below:

“The consumption so assessed, shall be charged at 3 times the normal tariff applicable, after adjusting the payments made for any energy consumption for the assessment period if any.”

From the perusal of the aforesaid provisions of the Act and the Code it is apparent that in the Act under Section 126(6) provided that assessment can only be done at the rate of 1.5 times of the tariff applicable, whereas the Code provided that in case of theft assessment at the rate of three times of the tariff applicable shall be made. Section 174 of the Act provided that Act shall have an overriding effect and the code which has been framed under the provisions of the Act being subordinate legislation can not travel beyond the scope of the provisions of the Act and is ultra-vires to the provisions of the Act. However, realizing their mistake the U.P. Electricity Regulatory Commission which has framed the U.P. Electricity Supply Code, 2005 made 3rd amendment to the Code on 14.9.2006 and clause 8.1(iv) was amended and clause 8.1(b)(iv) was inserted and it was provided that an assessment in cases of theft will be done at the rate of 1.5 times the tariff rate, thus, the provisions of the Code was made in consonance with the provisions of the Act and the illegality in framing the Code stood cured. It is also relevant to point out over here that the Electricity Act, 2003 was amended on 15.6.2007 by which Section 126(6) was amended and it was provided that the assessment will be done at the

rate of 2 times of the tariff rate instead of 1.5 times the tariff rate as was being charged earlier. However, U.P. Electricity Regulatory Commission has not yet amended the clause 8.1(b)(iv) of the Code to bring it in consonance with the provisions of the amended Act and the Code still provides for assessment at the rate of 1.5 times the tariff rate. It is not necessary for us to go into the question as the what will be effect of not amendment to the Code in consonance with the provisions of the Act. Since the petitioner's case is covered by the pre-amended Act and he was liable to pay 1.5 times of the tariff applicable as checking in the case of the petitioner was carried on 4.5.2005 and at that date unamended clause 8.2(iv) of the Code was in existence, which provided for assessment at the rate of three times of the tariff rate. Since three times of the tariff rate provided by the code at that time was contrary to the provisions of Section 126(6) of the Act, therefore, interest of justice would be served if we direct the petitioner to pay 1.5 times of the tariff applicable instead of three times tariff applicable.

In the result writ petition succeeds and is allowed. The impugned order dated 5.7.2005 Annexure-4 to the writ petition is quashed with the condition that the petitioner shall pay 1.5 times assessment tariff applicable on 4.5.2005 to the respondents and if the amount has already been paid by the petitioner, he shall not be required to pay it again.

Office is directed to issue a certified copy of this order to the learned counsel for the parties on payment of usual charges within 24 hours.

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